

Japan Portfolio Brief — Sunday, August 16, 2026

First run of the Japan Portfolio daily news brief. Covers the Tokyo/Seoul week of Aug 10–14 (Friday's session in focus) plus weekend news through Sunday Aug 16. Positions treated as live exposure. Links inline on factual claims. Note: Tokyo was closed Tuesday Aug 11 (Mountain Day); Seoul traded a full week and is closed Monday Aug 17 (Liberation Day substitute holiday).

1. Top of the stack

A September BoJ hike went from coin-flip to near-consensus — and your JGB position matures into it. Reuters-sourced reports this week said the BoJ is eyeing a hike as soon as September and debating a faster pace than its ~two-per-year rhythm ([Reuters via Yahoo](#)); market-implied September odds jumped to **76% on Friday from 24% on July 30** ([Invezz](#)), helped by July wholesale inflation at +7.2% ([CNBC](#)) and the extraordinary US-Japan joint yen intervention backdrop ([CNBC](#)). The JGB curve ratified it: 2-year at 1.65%, the highest since **1995**; 5-year at a record 2.135%; 10-year ~2.88% ([Business Recorder/Reuters](#), [Trading Economics](#)). Position note: your bond **JP1024661QB1 was identified as a JGB, 0.50% coupon, maturing Nov 1, 2026** ([HSBC collateral report](#)) — it matures in ~11 weeks into a front end yielding 3x its coupon, so the reinvestment decision (roll into 2s at 1.65%? extend?) is worth deciding before the Sept 17–18 meeting, and Friday's July CPI (Aug 21) is the last big input.

Records everywhere, and Korea's drought broke violently. The Nikkei rose ~4.7% — best week since June — touching an intraday record ~69,639 Friday before closing ~68,714; TOPIX closed at a record (~4,197) for a third straight day, breaking 4,200 intraday for the first time ([Bloomberg](#), [Business Recorder](#)). KOSPI did something rarer: **+11.5% for its best week in over three months, snapping seven straight weekly losses**, closing 6,977.94 after briefly reclaiming 7,000 — foreigners net bought four straight days, roughly ₩8tn (\$5.7bn), with Samsung Electronics +18.8% and SK hynix +15.7% on the week ([Korea Times](#), [BigGo](#)). The "Sell Korea" wave that followed July's record –23% KOSPI month ([Fortune](#)) looks, for now, to have ended. Both rallies lean on the same crutch — cool US inflation deferring a Warsh Fed hike — which gets stress-tested at Jackson Hole (Aug 27–29) and Nvidia earnings (Aug 26).

Sony committed \$6.4bn with TSMC and the stock rode it +11% on the week. Sony and TSMC will build a jointly owned image-sensor fab in Kumamoto (Sony ~60%/TSMC ~40%, production from 2029, aimed at auto/robotics sensing, possible METI support) ([Bloomberg](#)). Layered on the raised FY guidance from the Q1 print (OP +40%, I&SS profit doubled — [CineD](#)), the sensor story now has committed capacity behind it. Expectations are correspondingly elevated.

The Q1 earnings cluster sorted your industrial names into clear winners and losers. Winners: Sumitomo Metal Mining raised FY net guidance 23% to ¥216bn (+55% y/y) on copper/gold and data-center metal demand, in-window on Aug 10 ([SMM](#)); Honda posted record quarterly OP and raised FY ~30% ([Investing.com](#)); MUFG beat by 28% with net profit +48% ([Japan Times](#)). Losers: Subaru missed EPS by ~29% under tariffs ([Simply Wall St](#)); Suzuki beat but cut FY

OP guidance on a ~¥110bn Middle East energy-cost hit ([Investing.com](#)); Sanken Electric's white-goods-hit Q1 dropped the stock 4.9% against a +1.6% tape on Thursday ([TipRanks](#)).

One watchlist error needs your input: 8551 JP is The Kita-Nippon Bank (Iwate), not North Pacific Bank. North Pacific Bank trades as **8524 JP** ([Yahoo Japan 8551](#), [North Pacific = 8524](#)). I've covered Kita-Nippon below (it had a strong week: Q1 ordinary profit +58%, a 1:3 split coming — [Kabutan](#)) and corrected the watchlist, but **please confirm which bank you actually own**.

2. What matters, by theme

Macro, rates, FX

Covered above for the BoJ; three additions. The **yen fell ~1% to ~159.3-159.4/USD — its biggest weekly loss in ~3 months** — as speculators probed for the re-intervention line around 160, retracing about half of the historic late-July joint US-Japan intervention (the first coordinated yen-buying since 1998, executed by the NY Fed selling euros) ([Univest](#), [CNBC](#), [Wolf Street](#)). Weak yen flatters the exporters in this book but feeds the BoJ's case. **Monday Aug 17 brings Q2 GDP** (consensus +0.5% q/q / ~+2.0% annualized — [ING/FXStreet](#)), and **Friday Aug 21 the July national CPI** — the make-or-break input before September. In Korea, the BoK (2.75% after July's first hike since 2023) meets **Aug 27** with Citi and the street expecting +25bp after hawkish "preemptive response" comments from Senior Deputy Governor Ryoo on Monday ([Investing.com/Citi](#), [Korea Times](#)); the won sits near a 10-month high ~1,417 ([Trading Economics](#)).

Megacaps & tech

SoftBank (9984) jumped ~5% Friday with the tape; the week's substance was Friday's 13F showing it **sold 71.5% of its TSMC ADR position in Q2 and initiated a Capital One stake** ([Yahoo](#)), on top of the Aug 6 record-NAV quarter (¥72.3tn) and a live financing overhang — ~\$30bn of H2 obligations including the third \$10bn OpenAI tranche due Oct 1, with a ~\$10bn margin loan against the OpenAI stake under discussion ([Investing.com](#), [SoftBank](#)). It remains the book's highest-beta expression of both AI sentiment and BoJ risk.

Appier (4180) was the week's clean single-stock win: Thursday's Q2 showed record revenue (+24.6%), gross margin above 60% for the first time, record core free cash flow, and a raised FY26 guide — the stock repriced ~+15% Friday ([Manila Times/PRN](#), [Investing.com](#)). **RS Technologies (3445)** delivered its high-expectations print ~Aug 12: H1 OP +8.9%, FY guidance unchanged, dividend raised ¥45→¥55, plus a new 2026-28 medium-term plan ([TipRanks](#)) — in-line-plus-dividend rather than the blowout the +68%/30-day run implied; watch whether momentum holds. **SHIFT (3697)** now has an explicit bear case: Goldman initiated at Neutral (PT ¥710 post-split) arguing AI erodes manual software testing, far below consensus ~¥1,077 ([MarketScreener](#)). **Omron (6645)** continues re-rating on its AI-capex quarter (Q1 OP +226% — [BigGo](#)); **Kubota (6326)** carries a raised FY guide levered to US rates ([MarketScreener](#)). Quiet: Keyence (record high Aug 6, ~¥87,200), Canon, Daikin, Seiko Epson, Shibaura Machine, MegaChips (Switch 2 cycle tailwind, Q1 revenue +56% — verify exact figures against the [TDnet filing](#)).

Banks & financials

The sector thread is simple: **September-hike pricing at 76% is the earnings story**, and the TOPIX Banks index is now +40%+ YTD, roughly double the broad index, boosted this week by rotation out of AI volatility into domestic dividend names ([Hedgeweek](#)). Against that: **MUFG (8306)** — Q1 net +48% to ¥809bn, huge beat, now Japan's most valuable listed company (~¥42tn, having passed Toyota in July) ([Japan Times](#), [Bloomberg](#)). **SMTG (8309)** beat with net +57% and a fresh 4:1 split (effective Aug 1) ([RTT](#)). **Resona (8308)** — the purest domestic-rate name — posted a solid Q1 with NII expected above plan ([Resona IR](#)). **Japan Post Holdings (6178)**: ordinary profit +51% on JP Bank's rate leverage, against a postal segment now operating at a loss; ¥150bn buyback running ([BigGo](#)). **SBI (8473)**: record Q1 (net ¥148bn) plus an aggressive crypto expansion cadence — Ripple stake held at a striking ¥6.6tn valuation, Coinhako and Bitbank acquisitions in motion ([Stockopedia](#), [crypto.news](#)) — high headline risk in both directions. **Kyoto FG (5844)** beat (+58% ordinary) but retreated on profit-quality questions about equity-gain skew ([Simply Wall St](#)) — the Kyoto cross-holdings unwind remains the long thesis. Small caps: **Kita-Nippon Bank (8551)** — see identity flag) Q1 +58% with a 1:3 split (record date Sep 30) and upgrade speculation ([Kabutan](#)); **Fidea (8713)** — confirmed still listed — doubled Q1 ordinary profit ahead of the Jan 2027 Shonai/Hokuto bank merger into "Fidea Bank" ([TipRanks](#)); **Shimizu Bank (8364)** reported Aug 3, no accessible detail — flagged for follow-up.

Industrials, autos, materials

The metals pair was the week's standout. **Sumitomo Metal Mining (5713)**: Q1 net +220%, FY raise, higher dividends flagged, stock +~35% in a month ([SMM](#)) — the question now is durability of the copper/gold tailwind after the run. **Mitsubishi Materials (5711)** swung from a year-ago loss to ¥51bn net, still ~7x trailing earnings ([Simply Wall St](#)) — the cheaper expression of the same theme.

Autos: the tariff regime is in flux — the negotiated 15% cap died with the IEEPA tariffs in February; Japanese cars currently enter the US at ~12.5% while Washington explores restoring the framework via other authorities ([S&P Global](#)). **Honda (7267)** is the winner (record OP, +30% guidance raise, and a core-electronics partnership with Nissan reportedly weeks away — [Yahoo](#)); **Subaru (7270)** the casualty (29% EPS miss, most US-import-exposed, now entering North American auto finance); **Suzuki (7269)** the puzzle (strong quarter, FY cut on ¥110bn of Middle East energy costs — India volume vs. energy is the debate).

Small/mid caps with real events: **Nakayama Steel (5408)** announced a capital-and-business alliance with Hanwa and Yodoko to fund its new electric arc furnace (construction begins this month; NN STEEL JV with Nippon Steel, ~¥95bn) — transformational but dilutive ([TipRanks](#)). **Optex (6914)** raised FY guidance and its dividend on US data-center security-sensor demand, in-window Aug 11 ([TipRanks](#)). **JAPEX (1662)** raised FY net guidance 22% — but via securities-sale gains against a –79% Q1, a quality-of-earnings question with energy-price leverage on top ([JAPEX](#)). **Fudo Tetra (1813)** beat with a commemorative dividend; **Obara (6877)** posted +26% 9-month net. Quiet/noise: Hi-Lex (Oct FY; Q3 Sept 3), KH Neochem (H1 out Aug 4, English detail thin — verify), Tigers Polymer (margin squeeze, guide intact), Valqua.

Consumer, property, transport

Mitsui Fudosan (8801) is the sleeve's live story: record Q1 core-segment profits (leasing/management/facility ops), 1.1% Tokyo office vacancy, >25% progress against unchanged FY guidance ([BigGo](#)) with a record-TOPIX tape behind it. The offset for all inbound-linked assets: Japan's tourism boom is cracking — June arrivals fell 6.8% y/y, the first H1 decline in five years, driven by a –56% collapse in Chinese visitors after Beijing's travel advisory ([SoraNews24](#)). July data lands ~Aug 19 and matters for **Keisei (9009)** (Narita traffic; strong Q1 with OP +19% — [Kanko Keizai](#)) and **JR Central (9022)** (Obon peak-pricing quarter; ridership tallies ~Aug 18–19; maglev opening-date announcement due within 2026 after the Shizuoka breakthrough — [Nikkei](#)). Small caps: **Katakura (3001)** raised FY guidance on gains from selling HULIC shares and spiked Wednesday ([Yahoo JP](#)) — the cross-holding value-unlock pattern; **Oro (3983)** printed +33% H1 net Friday night, reaction pending Monday ([Matsui](#)). **Universal Entertainment (6425)**: no new rating action after the ugly Okada Manila print (H1 casino adj-EBITDA –62.5%; group back to profit on pachislot) — the week brought a mass-market/online pivot narrative and a Disney-themed venue tie-up from Q4 ([FocusGN](#), [AGB](#)); the credit remains the thing to watch. Yakult, Shochiku, Tokyotokeiba, TOC: quiet.

Korea names

Beyond the market-wide surge: **F&F (383220)** made the week's most interesting strategic move, buying the **Discovery Expedition global trademark and IP outright from Warner Bros. Discovery for \$80m** — converting itself from licensee to owner and opening China expansion for a brand doing ₩354bn of revenue ([Seoul Economic Daily](#)). **LS Corp (006260)** posted a record Q2 (group OP +153%; H1 OP already exceeds all of 2025) as the purest AI-power/grid-capex name in the book ([Herald Business](#)). **Misto Holdings (081660)** — Fila Holdings renamed in April) beat big: Q2 OP +62% on Acushnet strength ([FashionUnited](#)). **Taekwang Industrial (003240)** announced a ₩150bn capacity doubling in modacrylic fiber while its treasury-stock PRS plan is under attack from Truston AM — a governance fight that intersects the pending Commercial Act amendment mandating treasury-share cancellation ([Seoul Economic Daily](#), [BigGo](#)). **NAVER (035420)**: Q2 revenue +16% but flat OP in an AI investment cycle; the Dunamu/Upbit share swap slipped to a Dec 31 deadline on regulatory friction ([Investing.com](#), [CryptoBriefing](#)). **SK Inc. (034730)** went ex-dividend Friday and reports Q2 on Aug 19, with the Nvidia-SK Group AI-infrastructure partnership as NAV tailwind ([Stockopedia](#)). **LG Electronics pref (066575)**: ₩500 interim dividend record date fell Thursday; payment Aug 28; full buyback retirement committed ([Seoul Economic Daily](#)). **Samsung C&T (028260)** carries its strong Q2 (OP +37%, ₩5.4tn orders) plus the largest treasury-stock overhang in Korea into the Commercial Act debate ([Seoul Economic Daily](#)). **ILJIN Holdings (015860)** — now identified: holdco of Iljin Electric HV cables/transformers and Iljin Diamond) is grid-theme beta, quiet this week ([StockAnalysis](#)). Quiet: LG Corp, LG Chem pref, SK Discovery (buyback expires Sep 7), Amorepacific Group, Hyosung (earnings Aug 19), Daewon Sanup, Eusu, Motonic, Seoul City Gas, Samyang Tongsang, Ubiquoss.

3. Probably noise

- **Friday's Nikkei "retreat from the record"** — profit-taking after a +5% week; sources even disagree on the close's direction ($\pm 0.6\%$). The trend, not the tick, is the story.
- **Universal Entertainment's Disney tie-up headlines** — themed dining and pop-ups from Q4; immaterial to the credit math that actually matters.
- **SoftBank's Capital One stake headlines** — interesting color on Son's US financials bet, but tiny against a ¥72tn NAV dominated by Arm and OpenAI.
- **Honda-Nissan "merger" chatter** — stale December 2024 reporting recirculating; the merger died in Feb 2025. The real (and smaller) story is the electronics partnership.
- **Keyence/Canon/Daikin post-earnings drift** — all reported before the window; nothing new.
- **Tokyoikeiba's in-line interim, Ebara Jitsugyo's steady H1, Tigers Polymer's margin dip** — small-cap housekeeping, guidance intact in each case.
- **Yakult buyback-progress items** — the ¥55bn program hasn't started executing yet; the monthly disclosure ~Sep 1 is the first real datapoint.
- **Kioxia/SanDisk AI-memory headlines lifting the complex** — relevant as sector fuel, but none of your names is directly exposed to NAND pricing.

4. Time-sensitive / positions watch

Position mechanics needing decisions:

- **JP1024661QB1 (JGB 0.50%) matures Nov 1, 2026** — ~11 weeks out. Reinvestment into a 2-year at 1.65% (highest since 1995) vs. waiting past the Sept 17–18 BoJ meeting (76% hike odds, possible faster-pace guidance) is a real timing choice. Aug 21 CPI is the next input.
- **SK Inc. dividend**: ex-date passed Friday Aug 14; payment Aug 31.
- **LG Electronics pref dividend**: record date passed Aug 13; ₩500/share pays Aug 28.
- **Kita-Nippon Bank (8551) 1:3 split**: record date Sep 30 — but first confirm this is the bank you intended to hold (vs. North Pacific Bank 8524).
- **KRX closed Monday Aug 17** (Liberation Day substitute); Korea positions can't be traded until Tuesday.

Calendar (all dates 2026):

Date	Event
Mon Aug 17	Japan Q2 GDP prelim (8:50 JST; cons. +0.5% q/q); KRX closed; Oro (3983) post-results reaction
Tue Aug 18	KRX reopens; JR Obon ridership tallies (~18–19th) — JR Central, Keisei
Wed Aug 19	SK Inc. Q2 + Hyosung H1 earnings ; JNTO July arrivals (~19th); Japan July trade (~19–20th); Japan machinery orders

Date	Event
Fri Aug 21	Japan July national CPI (core cons. ~1.8–2.0%) — last major input before Sept BoJ
Wed Aug 26	Nvidia FQ2 earnings — AI-complex verdict (SoftBank, semis, KOSPI beta)
Thu Aug 27	BoK rate decision (+25bp to 3.00% expected); BoJ Deputy Gov Himino speech; Jackson Hole begins (through Aug 29)
Fri Aug 28	LG Electronics interim dividend payment; Tokyo August CPI (~28th)
Mon Aug 31	SK Inc. dividend payment
Wed Sep 2 / Thu Sep 10	BoJ board speeches (Takata / Masu) — September-signal venues
Mon Sep 7	SK Discovery ₩20bn buyback expires
Thu Sep 17–18	BoJ Monetary Policy Meeting — hike to 1.25% priced at 76%
Wed Sep 30	Kita-Nippon Bank split record date; MUFG ex-dividend (Sep 29)
Sun Nov 1	JP1024661QB1 JGB matures

Undated but live: US Section 122 / auto-tariff framework restoration (Subaru highest beta); Honda–Nissan electronics partnership signing ("weeks away"); JR Central maglev opening-date announcement (by year-end); Korea Commercial Act third amendment — treasury-share cancellation (Samsung C&T, Taekwang, LG Corp, holdcos broadly); possible S&P/Fitch commentary on Universal Entertainment's H1; SoftBank's third \$10bn OpenAI tranche (Oct 1); re-intervention risk if USD/JPY breaks 160.

5. Follow-up questions to investigate

- The 8551 question (needs your answer):** Do you own The Kita-Nippon Bank (8551) or North Pacific Bank (8524)? The watchlist said "North Pacific Bank" but the ticker says Kita-Nippon. The two have different stories — Kita-Nippon has the split and upgrade speculation; North Pacific is a larger Hokkaido franchise.
- JGB reinvestment:** When JP1024661QB1 matures Nov 1, what's the intended duration? If the BoJ hikes in September *and* signals a faster pace, the front end could still be cheapening into year-end — is there a case for T-bills/floating until the December meeting? Also worth confirming the exact issue (my identification of the 0.50% Nov 2026 maturity comes from a fund collateral report, not an official MOF record).
- SoftBank financing stack:** How does the ~\$30bn of H2 obligations (OpenAI tranche 3, margin loan talks, buyback commitments) interact with a BoJ hiking cycle that raises its yen funding costs? Worth mapping before the Oct 1 tranche date.
- Sanken vs. Allegro sum-of-parts:** After Thursday's –4.9%, what does 6707's stub trade at net of its Allegro stake, and is the Japan white-goods power-semi business being valued below zero? (ALGM is also in the GGOF book — the cross-position is worth a combined view.)

5. **Metals momentum:** SMM +35%/month and Mitsubishi Materials at 7x — if Jackson Hole re-prices the Fed hawkishly and the dollar bounces, how much of the copper/gold tailwind unwinds? Is the pair trade (hold cheaper 5711, trim extended 5713) worth it?
 6. **Korea holdco complex vs. the Commercial Act:** If mandatory treasury-share cancellation passes, which of your holdcos (Samsung C&T's overhang is the largest in Korea; SK Inc., LG Corp, Taekwang with its contested PRS) re-rates most — and does Taekwang's Truston fight become a template or a cautionary tale?
 7. **Inbound trajectory:** If July JNTO data (Aug 19) confirms the China-led decline accelerating, what's the earnings sensitivity for Keisei's Narita segment and JR Central's Tokaido leisure mix — and does Mitsui Fudosan's retail portfolio have measurable China-tourist exposure?
 8. **SHIFT's AI debate:** Goldman's ¥710 vs. consensus ¥1,077 is a 50% disagreement about whether AI kills or feeds software-testing demand. Which specific SHIFT service lines are automatable, and what does the Q4 (Aug FY-end, results ~October) order book show?
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Prepared Sunday Aug 16, 2026, from live web research. Watchlist updates made this run: 8551 corrected to Kita-Nippon Bank (confirmation requested), 015860 resolved to ILJIN Holdings, 081660 renamed Misto Holdings, JP1024661QB1 identified as JGB 0.50% due 2026-11-01, and (confirm) flags cleared on verified names. Sources behind several small-cap figures are search-snippet-based where Japanese finance sites blocked full fetch — flagged inline. No email tool is available in this session, so this brief was not emailed; it is delivered here and in the repo.